

1. Solvency Ratio

Is the company solvent in the long-run?



A solvent company owns more than what it owes. It has a positive net worth and a manageable debt load.

The solvency ratio examines the enterprise's capacity to meet its long-term financial commitments.

A business can experience solvency issues as well as liquidity issues. Let us take an example to understand this concept.

- Company A has assets to cover all its liabilities. One of those assets is land and the amount of time required to sell land in exchange for cash-in-hand is high.
- The company owns land that it will eventually sell and pay off the debt i.e. the company is solvent. But the company is not having short-term cash for debt which makes the company illiquid.
- Does the company have enough liquid cash to pay its short-term expenses and liabilities?
- A company can be illiquid or even insolvent. If the company is illiquid or solvent, then it's a short-term problem, but if the company is insolvent then it might be looking at bankruptcy procedures. Therefore, insolvency means that a company has liabilities but lacks the assets necessary to cover those liabilities.

Assets

Rs. 100 Cr.



Liabilities

Rs. 50 Cr.



Company is

Solvent

Company can pay-off its Liabilities

Assets

Rs. 50 Cr.



Liabilities

Rs. 100 Cr.



Company is

Insolvent

Company won't be able to pay-off its Liabilities

Could go out of business!



To check solvency ratios we need to know:

How is the long-term financial health of the company?
Will they be able to pay off their debts in the future?

Therefore, We will compute the following two ratios:

.1 Debt to Equity

.2 Interest Coverage Ratios